Sri Lanka Institute of Information Technology

B.Sc. Special Honors Degree in Information Systems Engineering

Final Examination

Year 3, Semester 1/2 (2023)

IE3060 – Business Management for IT

Duration: 2 Hours

November 2023

Instructions to Candidates:

- The paper contains **Four (4)** questions in **Five (05)** pages.
- All the questions are compulsory.
- Candidates should answer all the questions in the answer booklet given.
- Calculators are permitted.

Question One **(30 Marks)**

a. Briefly explain the "Marketing Myopia" and the strategies the companies employ to prevent it (05 marks)

b. "Emma Clarke operates a small bakery as a sole trader. Capital for expansion proves challenging. She appreciates the freedom to make independent decisions yet fears unlimited liability and the risk of losing personal assets. The allure of keeping all profits drives her. Emma explores crowdfunding and networking to overcome financial obstacles and expand her business. Her passion for baking fuels her determination to find innovative solutions and create a thriving bakery." According to this case study, explain the benefits and challenges of being a sole trader (10 marks)

c. Discover ways on how a business can strike a balance between efficiency and effectiveness to optimize resource utilization while achieving desired outcomes and meeting customer expectations (05 marks)

d. Construct a table and show the financial and non-financial rewards used to motivate employees in an organization where you currently work or worked before (10 marks)

Question Two **(20 Marks)**

a. Explain the law of demand and the factors affecting demand (7 marks)

b. If the demand and supply curve for computers is:
$D = 100 - 6P$, $S = 28 + 3P$
Identify what is the quantity of computers bought and sold at equilibrium, where P is the price of computers? (5 marks)

c. A small country produces only two goods, cars (X axis) and computers (Y axis). Given its limited resources, this country has the following production possibilities:

Cars	0	25	50	75	100
Computers	200	180	130	70	0

Draw the production possibility curve and label the following points on the PPC.

i. Efficient combination of productions (Point G)

ii. Inefficient combination of productions (Point H)

iii. Unachievable combination of productions (Point I)

iv. Unavailability of technology to produce cars and computers (Point J)

(08 Marks)

Question Three **(30 Marks)**

Chirantha Gamage started a proprietorship on 01st of January 2023 and the transactions occurred during the first month of his business are stated below

1.	01/01/23	Chirantha started his business by investing Rs.1,200,000 in cash
2.	02/01/23	Business startup expenses of Rs.12,000 were paid by cash
3.	03/01/23	Purchased goods on credit for Rs.350,000
4.	07/01/23	Cash sales Rs.40,000
5.	10/01/23	Staff salary of Rs.50,000 was paid by cash
6.	12/01/23	Chirantha paid a creditor Rs.50,000 by cheque
7.	14/01/23	Purchased a furniture worth of Rs.30,000 on credit from "Aruna Furniture"
8.	15/01/23	Paid rent Rs.15,000 by cash
9.	22/01/23	Chirantha settled the amount owning to " Aruna Furniture" by cash
10.	28/01/23	Chirantha bought a computer worth of Rs.70,000 paying by cheque

Apply the impact of these transactions on the accounting equation.

Question Four **(20 Marks)**

a. Explain the difference between current assets and non-current assets with relevant examples.

(08 Marks)

b. Following is the Balance sheet of the 'Typical Business, Inc as at 31st December 2008 and 2009. You are required to calculate and interpret the results of the following ratios for both 2008 and 2009.

i. Current ratio

ii. Gearing ratio

iii. Quick ratio

(12 Marks)

Typical Business, Inc.
Statement of Financial Condition
at December 31, 2008 and 2009
(Dollar amounts in thousands)

Assets	2008	2009
Cash	$2,275	$2,165
Accounts receivable	$2,150	$2,600
Inventory	$2,725	$3,450
Prepaid expenses	$525	$600
Current assets	$7,675	$8,815
Property, plant, and equipment	$11,175	$12,450
Accumulated depreciation	($5,640)	($6,415)
Net of depreciation	$5,535	$6,035
Total assets	$13,210	$14,850

Liabilities and Owners' Equity	2008	2009
Accounts payable	$840	$765
Accrued expenses payable	$750	$900
Income tax payable	$90	$115
Short-term notes payable	$2,150	$2,250
Current liabilities	$3,830	$4,030
Long-term notes payable	$3,850	$4,000
Owners' equity:		
Invested capital	$3,100	$3,250
Retained earnings	$2,630	$3,570
Total owners' equity	$5,730	$6,820
Total liabilities and owners' equity	$13,210	$14,850

~ End of the Question Paper ~